

SOME QUESTIONS YOU'LL BE ABLE TO ANSWER BY THE END OF THIS CLASS

ECON 2010 – Macroeconomics

Spring 2019

- (a) What do economists study? How is economics a science? How can economists study firms, and households, and marriage, and bonds, and trade, and voting, and migration, transportation, education and much more? What ties these things together? How are they related? What principles do economists use to analyze these disparate things? What tools do economists use to understand the world? What does it mean that economists study what is/was/could be but not what *should* be?
- (b) What is the unemployment rate? How can a lower unemployment rate be both potentially good *or* bad? How is the unemployment rate related to labor force participation? How can there be a “natural rate of unemployment” for an economy? What can government do about the unemployment rate? What has the unemployment rate been in US history? Around the world?
- (c) What is the Federal Reserve? What policies does it control? What does it mean that “The Fed” sets the interest rate? Who are members of the Fed and who are they accountable to? What is the mandate of the Fed?
- (d) How are wages in a given market determined? Do firms just get to decide what they want to pay? Do workers just get to demand the wage that they want? What does it mean for there to be a labor market? What does supply of labor mean? What does demand for labor mean? What does it mean for a market to be in equilibrium?
- (e) What does it mean for an economy to grow? What exactly is growing? Is faster growth better? Why does an economy grow? What does GDP stand for? What’s the difference between real and nominal GDP? Does an economy grow if people just buy more stuff? What are the biggest economies in the world? Which economies are growing the fastest? The slowest? How much does the US economy grow?
- (f) What is money? Why do we have money? Why not just trade things we have for things we need? Who decides whether money is worth something? How is money related to gold? What happens when the government prints more money? Or destroys money? Who in the government gets to decide this? What is the “money supply”? How can banks increase or decrease the amount of money in the economy? How can there be a “market for money”? What is the price of money?
- (g) What is inflation? How does inflation happen? What does it mean for some inflation to be good? What is deflation? Why is deflation so bad? What can government do about inflation? What are inflation rates in US history? Around the world?
- (h) What does it mean for the government to have a deficit? What about debt? Where do US tax revenues come from? What does the US government spend money on? What does the federal government do if it spends more money than it collects? What ways can the government affect economic growth? Or inflation? Or unemployment?